

ADVICE

This section offers advice on each of the specific investor errors outlined in the feature box.

Holding inappropriate assets. Education is essential to overcoming this aspect of status quo bias. As previously noted, status quo bias is exceptionally strong and difficult to overcome. Demonstrating the downside risks associated with holding inappropriate assets is often an effective tactic and may motivate people to change their behavior. Another persuasive approach is to demonstrate, based on a single stock position, what could happen to overall wealth levels if the market goes south and then to explicitly link wealth changes with probable lifestyle changes.

Status quo bias and loss aversion bias. Doing nothing is much easier than making a decision. This is especially true when a decision might bring about emotional pain; for example, the decision to sell a losing investment may register the impact of a loss. Sometimes, however, inaction can compromise long-run returns. When clients hesitate to implement changes, advisors should carefully analyze whether adhering to the status quo will affect attainment of financial goals. If you discover that your client's biased behavior will indeed impact his or her wealth down the road, then education is critical. Explain to clients the common cognitive and emotional oversights they may be committing and demonstrate the benefits of decisive action.

Status quo bias and emotional attachment. Emotions are perhaps the least legitimate concerns in asset management. When financial goals are in jeopardy, it can be too risky to sit back and adhere to an affective whim. Advisors need to demonstrate how emotions need to be managed. "Emotional intelligence," a well-publicized topic in popular psychology, offers many insights to this end. Do a little reading, and you may find yourself better equipped to help your clients work through their emotional attachments.

Status quo bias and fear of transaction costs. Taxes and fees are legitimate concerns when it comes to altering an allocation status quo. However, more often than not, these concerns pale in comparison to the other potential implications of holding, or exiting, a poorly performing security. If you are an advisor, run through some financial calculations with your client. Then, be ready to be persuasive in communicating the advantages of diversification and proper asset allocation.